

Customer Segmentation & Retention Strategy Report

1. Executive Summary

A pure RFM segmentation often overlooks critical behavioral friction points such as unresolved support tickets, high product returns, and failing digital engagement. This report details a **Behavior-Informed RFM Segmentation** framework designed for our D2C brand. By combining traditional transaction metrics with non-RFM channels (customer support tickets and product return rates), we identify exactly where customer relationships are failing and where our marketing dollars will yield the highest ROI.

2. Segment Definitions & Behavioral Profiles

Segment Name	Recency (R)	Frequency (F)	Monetary (M)	Non-RFM Behavioral Signals	Recommended Retention Action
Champions	< 30 days	≥ 5 orders	Top 20%	High web sessions, high ratings, return rate < 5%	VIP Advocacy: Early access to new collections, exclusive zero-discount loyalty perks, referral rewards.
Loyal Customers	45 - 90 days	≥ 3 orders	Mid-to-High	Consistently positive ticket sentiment, steady site browsing.	Habit Reinforcement: Value-adds (e.g., free gift with next purchase), product recommendations.

					recommendations matching their preferred category.
High-Value but Unhappy	$\leq$ days	$\geq$ orders	Top 30%	Negative ticket sentiment (score $<$) OR high return rate ($>$).	Proactive Concierge: Immediate service recovery, personalized apology email with direct phone support and a direct gift card (no minimum spend).
Discount-Sensitive Shoppers	Any	Any	Low-to-Mid	Average discount percentage $\geq$, responds only to promotional campaigns.	Margin Protection: Low-cost cross-sell bundles, exclusive lower-tier items, high-barrier threshold coupons (e.g., ₹150 off on purchases above ₹1,500).
At-Risk Customers	91 – days	$\geq$ orders	Mid-to-High	Support ticket	Urgent Re-engage

				reopened rate > , declining web sessions.	ment: Reintroduction campaigns, customized survey asking "How can we do better?" paired with a strong catalog offer.
Dormant Customers	> days	≤ order	Low	Almost 0 web sessions, last visit > days ago, no campaign clicks.	Winback or Sunset: Re-permission/last-chance offer. If unresponsive after 14 days, remove from active marketing list to protect domain authority.

3. Financial Impact & Business Value

- Champions & Loyals (High Value, High Margin):** These segments represent our brand's core. Increasing their purchase frequency by just 5% through non-discount loyalty programs protects profit margins and drives sustainable organic acquisition via word of mouth.
- Mitigating High-Value Unhappy Risk:** Retaining an unhappy premium customer is 5x cheaper than acquiring a new one. A proactive support outreach program targeting high-LTV customers with unresolved issues is expected to reduce churn in this cohort by

35%

- **Promotional Optimization:** By shifting discount-sensitive customers toward higher-order-value thresholds, we restore average order value (AOV) and cease margin erosion.

4. Limited Campaign Budget Prioritization

Total Hypothetical Budget: ₹100,000

When resources are constrained, we prioritize groups based on **Customer Lifetime Value (LTV)** and **Probability of Recovery (Reversibility)**.

Priority Matrix & Budget Allocation

[Priority 1: High-Value but Unhappy] → [Priority 2: At-Risk Customers] → [Priority 3: Loyal Customers]

(Allocation: 50%)

(Allocation: 30%)

(Allocation: 20%)

1. **Priority 1: High-Value but Unhappy (50% Allocation - ₹50,000)**

- *Rationale:* These customers have proven financial affinity but are actively leaving due to poor delivery or service quality. They are highly recoverable if we act before they completely disengage.
- *Tactics:* Proactive phone support outreach, shipping fee credits, full refunds for broken products, and complimentary premium items.

2. **Priority 2: At-Risk Customers (30% Allocation - ₹30,000)**

- *Rationale:* This group represents mid-to-high spenders who are drifting away. Their inertia can be broken with personalized product recommendations and targeted, moderate incentives.
- *Tactics:* Tailored catalog emails and tier-restoration discount coupons.

3. **Priority 3: Loyal Customers (20% Allocation - ₹20,000)**

- *Rationale:* Protecting the existing base is vital. This budget is spent on high-impact, low-cost loyalty touchpoints to ensure they remain Champions.
- *Tactics:* Early product access campaigns, exclusive content, and loyalty point multipliers.

4. **Excluded from Budget:** *Dormant Customers* and *Discount-Sensitive Shoppers*. Spending limited capital to win back dormant, low-value shoppers or subsidizing low-margin buyers yields poor ROI.